



HUMAN RESOURCES DEPARTMENT
2101 O'Neil Avenue, Front Lobby
Cheyenne, WY 82001
(307) 637-6340

MEMO

To: Honorable Mayor Patrick Collins and Members of the City Council
From: Darrin Hass – Director of Human Resources
Subject: Alternative Funding Program
Date: February 13, 2023

Project Description:

1. This program will help create a partnership with Novobenefits and Paydhealth in which they can work with our staff who have extremely high prescription costs. This will reduce the employee out of pocket costs of their RX charges as well as reduce the city's overall costs of the BCBS health plan.

RESOLUTION NO. _____

**ENTITLED: "A RESOLUTION AUTHORIZING PAYDHEALTH, LLC, TO PROVIDE
ADVOCACY AND FINANCIAL CASE MANAGEMENT SERVICES FOR
ELIGIBLE SPECIALTY PRESCRIPTION DRUGS THROUGH
ALTERNATIVE FUNDING PROGRAMS EFFECTIVE JULY 1, 2023."**

WHEREAS, the Governing Body of the City of Cheyenne wishes to participate in an alternative funding program through the City of Cheyenne Healthcare Plan ("the Plan"), which will result in significant prescription drug savings for high-cost specialty medications;

WHEREAS, the City of Cheyenne will utilize Paydhealth, LLC, to administer the alternative funding program;

WHEREAS, Paydhealth, LLC, is provider of healthcare benefits consulting services, which offers funding solutions to the self-funded market for health and welfare benefits to reduce the costs of healthcare plans.

WHEREAS, the City's health insurance consultant, Novo Benefits, will oversee the program with Paydhealth, LLC, and assist eligible employees with using this service;

WHEREAS, the limited number of impacted employees will have individualized assistance and support with providing needed documentation.

WHEREAS, no expenses will be incurred by the City because Paydhealth LLC's associated fees are funded from a percentage of the savings achieved through the Plan under the alternative funding program;

WHEREAS, it is expected that the City of Cheyenne and its employees will financially benefit from this program through a reduction of costs for eligible specialty prescription drugs; and

NOW, THEREFORE, BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING, that the City of Cheyenne will participate in the program with Paydhealth, LLC, to provide eligible employees with prescription drug advocacy and financial case management resources to reduce costs for certain specialty prescriptions; and

BE IT FURTHER RESOLVED, that the City's new alternative funding program, under which eligible employees may receive program benefits, shall be effective July 1, 2023.

Select Drugs and Products™ Program

The Plan's Select Drugs and Products™ Program allows you to take an active role in helping the Plan reduce your costs, while allowing the Plan to continue to offer generous healthcare benefits to all Participants. The Plan is sponsoring this program at no cost to you. If you are prescribed a drug included on the Paydhealth Select Drugs and Products™ List, you must enroll in the Program to comply with benefit requirements.

Plan Members Taking Specialty Drugs 1 2 3

1

Paydhealth will initiate outreach to you by text message or phone call.

2

Complete the digital enrollment application which will allow Paydhealth to match you to alternate funding programs.

Note: you may be asked to provide household size and income information.

3

Your Paydhealth Case Coordinator will coordinate with you and your pharmacy to ensure you are able to get your medication in a timely manner.

A Case Coordinator is available (8:00 am to 8:00 pm CST) to guide you through the enrollment process and the program. Please respond to calls from your Case Coordinator in a timely manner.

This program will not share your information with any 3rd party solicitors. If you would like to complete your application over the phone or speak with a Paydhealth Case Coordinator, please call (877) 869-7772. Common questions and answers about your Plan's Select Drugs and Products™ Program can be found on the next page.

There are two reasons why you are receiving this important message:



Your Plan has added an important program that includes the Paydhealth Select Drugs and Products™ List*.

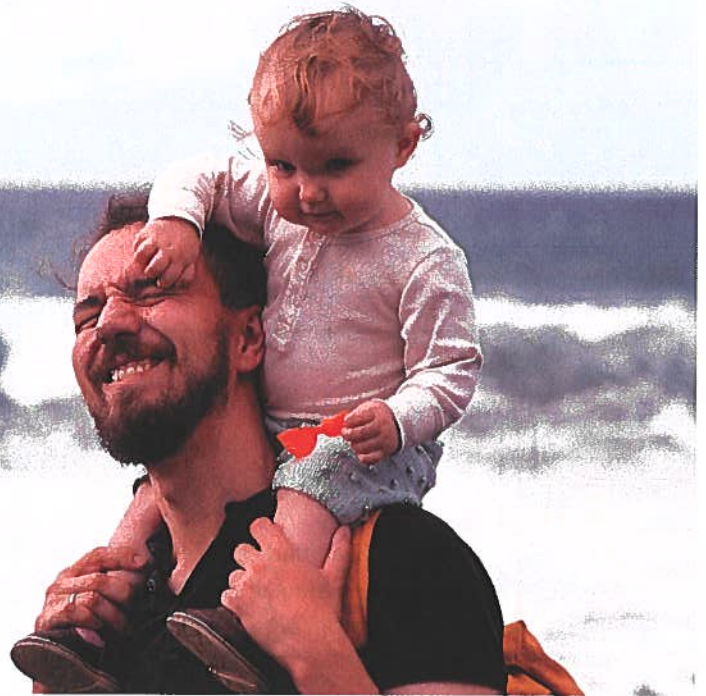


Your Plan is continuing to offer generous specialty drug benefits while attempting to reduce costs to you and the Plan.

*The Paydhealth Select Drugs and Products™ List includes drugs typically prescribed by a specialist for multiple sclerosis, hepatitis C, Crohn's disease, hemophilia, cancer, psoriasis, rheumatoid arthritis, transplants, HIV/AIDS, and other complex conditions.



Select Drugs and Products™ Program



Group Health Plans partner with Paydhealth to offer the Select Drugs and Products™ Program for their Plan participants who are taking certain specialty drugs. The Select Drugs and Products™ Program includes alternate funding and financial case management services that focus on the economic needs of Plan participants while leveraging clinical services already included through the Plan's prescription drug benefit. The Program reduces costs for Plan participants and may reduce the Plan's cost, with minimal impact on treatment time.

Key things to know:



Enrollment in the Select Drugs and Products™ Program provides an opportunity to substantially reduce a Plan participant's specialty drug out-of-pocket cost — in some cases, to no cost at all.



A Plan participant must complete prior authorization and enroll in the Program to meet Plan coverage criteria. Otherwise, the specialty drug prescription cost will not be paid by the Plan, and the Plan participants will pay the full cost of the specialty drug charged by the pharmacy.



All specialty drugs on the Select Drugs and Products™ list require clinical and administrative review, they must be medically necessary, and must be submitted to alternate funding before a benefit will be payable.

Is alternate funding *only* for people with no healthcare coverage?

No. Many alternate funding programs have been offered in the market for more than twenty years and the market has steadily grown year over year. Many of these programs are specifically designed for individuals who have a healthcare coverage. Alternate funding includes any form of funding provided to a Plan participant outside of a health and welfare plan.

How will this impact me? What should I expect?

Most Plan participants will see little or no out-of-pocket cost for specialty drugs when they receive alternate funding. When a specialty drug claim is processed under the prescription drug benefit of a Plan, it is automatically subject to prior authorization review. This is a standard procedure that assures the specialty drug is appropriately used and is meeting the medical necessity requirements of the Plan. When this clinical review is completed, a near simultaneous administrative review of the alternate funding market is completed.

The Select Drugs and Products™ Program is a “chaperone” service. A Program case coordinator will initially contact the Plan participant to begin the administrative review. This initial call takes about 10 minutes where a case coordinator will review alternate funding with the Plan participant and the requirements of identified programs. Some alternate funding programs require that the Plan participant attest to the accuracy of the information submitted. The case coordinator will notify the Plan participants if such an attestation is required. The process routinely takes less than 72 hours when all information is gathered.

How is Paydhealth informed about members who may qualify for this Program?

Paydhealth is notified of a Plan participant who may qualify for the Select Drugs and Products™ Program through an identification code that is associated with a specialty drug claim. This notification happens in near real-time and will initiate outreach to the Plan participants by the Paydhealth case coordination team. The Plan participants will usually hear from Paydhealth within 24 hours of the pharmacy submitting a claim for a medication on the Select Drug and Products™ list. During this period, the Pharmacy and the Plan participant's healthcare provider/prescriber will attempt to confirm the medical necessity for the prescription under the Plan.

Will my provider need to provide any information to Paydhealth?

The Plan participant's provider office may need to provide information to Paydhealth and to any alternate funding programs identified by Paydhealth on the Plan participant's behalf. Paydhealth will also work with the Plan participant's provider office to facilitate any new prescription requests at the Plan participant's direction. The Plan participant's provider may be asked by an alternate funding program to confirm the Plan participant's diagnosis.

How often is the Select Drugs and Products™ list updated?

The Program drug list is updated every three months, using a rolling update model. Only brand-name specialty drugs are included in the Program. Therefore, if the product becomes available generically, the generic specialty drug benefit will apply.

What about non-compliant members?

Our experience indicates that very few Plan participants will be non-compliant. In these instances, communication is key. Case coordinators make every effort to engage non-compliant Plan participants, and if unsuccessful, Paydhealth will reach out to the Plan for assistance in communicating with a non-compliant Plan participants.

Does the Select Drugs and Products™ Program include all specialty drugs?

While the Program includes the vast majority of specialty drugs, certain categories are not included in the Select Drugs and Products™ Program. These categories include specialty drugs used in an urgent or emergency care setting that are typically administered in a healthcare facility. Example categories are allergens and toxins, viscosupplements, infertility drugs, IUDs, and blood thinners. Also, generic or multi-source drugs are not included in the Program.

Does the Select Drugs and Products™ Program include personal importation (Canadian Pharmacy) or pharmacy tourism?

No. The Program includes only U.S. pharmacy-supplied specialty drugs. The Program is designed to manage the funding of specialty drug prescriptions and it does not provide access to products dispensed by pharmacies or healthcare practitioners located outside of the United States of America.

Will I be billed for services, and are there fees associated with the Select Drugs and Products™ Program program?

The only charges that a Plan participant may experience are related to their published out-of-pocket expense payable to the pharmacy or an alternate funding service charge. In most cases, the Program will succeed in securing enough alternate funding that a Plan participant's out-of-pocket will be lower than their Plan defined co-payment or co-insurance. The Program will never charge a Plan participants directly, and all Program fees are paid by the Group Health Plan.